

POL-009

Capital Planning & ICAAP Policy

Group Functions & All KBC Business Lines

Policy ID	POL-009
Version	v3.0
Effective Date	01 January 2025
Next Review	01 January 2026
Status	Active
Policy Owner	Group CFO / Group CRO
Applies To	Group Functions & All KBC Business Lines
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains KBC's annual capital planning process — how we assess our capital adequacy, stress test our resilience, and ensure we can absorb losses even in severe adverse scenarios.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

Capital planning is the process by which KBC ensures it will have sufficient financial resources to meet its obligations and absorb losses — not just today, but through a range of possible future scenarios. This policy explains how KBC approaches that process and what it means for our people.

2. Who This Applies To

This policy is primarily relevant to employees in finance, treasury, risk management, and capital markets. It also applies to senior managers whose business decisions have a material impact on KBC's capital position.

3. Why Capital Planning Matters

Banks operate with leverage — a small amount of capital supporting a much larger balance sheet. This is what makes banking economically useful, but it also means capital must be planned carefully. A bank that depletes its capital buffer has very little room to manage unexpected losses before its financial stability is threatened. KBC's capital targets are set with meaningful buffers above regulatory minimums to ensure headroom in difficult times.

4. The ICAAP — Our Annual Capital Health Check

Every year, KBC submits an Internal Capital Adequacy Assessment Process (ICAAP) to our supervisors. This comprehensive document explains how we have assessed our capital needs across all material risks. It is a genuine engagement with the question of whether KBC is adequately capitalised — not a form-filling exercise. Our supervisors review it and may require us to hold additional capital if they believe our assessment underestimates our risks.

5. Stress Testing — Planning for Adversity

A central component of capital planning is stress testing — modelling what would happen to KBC's capital position in severe adverse scenarios: deep economic recessions, sharp falls in property values, major operational failures. Stress testing is not about predicting what will happen. It is about ensuring we have enough capital to survive what might happen.

Why we run severe scenarios

It might seem pessimistic to model scenarios where things go seriously wrong. But the purpose is reassurance, not alarm. If KBC can demonstrate that even in a severe recession its capital position would remain sound, that gives our customers, investors, and supervisors genuine confidence in our stability.

6. ESG Risks in Capital Planning

Climate change and environmental degradation are not just ethical issues — they are financial risks. Physical climate risks can affect the value of property securing KBC mortgages. Transition risks can affect the viability of businesses we lend to. KBC now integrates climate and ESG risks explicitly into its capital planning process.

7. Your Role

If you work in a role that contributes data or analysis to the capital planning process, accuracy and completeness are paramount. Capital plans built on inaccurate data give false assurance. If you are uncertain about an input, raise it.

8. Getting Help

- **Group CFO / CRO Office** — for capital planning questions.
- **KBC Compliance Advisory** — for policy guidance.

9. Policy Review

This policy is reviewed annually following the ICAAP submission cycle.